Audit Procedures

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Sir Athar Mehmood
SKANS Rawalpindi

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Bank & Cash

The key assertions for bank and cash are existence and valuation.

Sources of evidence:

- Bank confirmation letter
- Bank reconciliation
- Cash book
- Bank statements

Substantive Procedures

- Obtain the bank reconciliation and cast to ensure arithmetical accuracy.
- Obtain a bank confirmation letter from Murray's bankers to confirm existence and rights & obligations.
- Agree the balance per the cash book on the reconciliation to the year-end cash book and financial statements to confirm accuracy & valuation.
- Agree the balance per the bank statement to an original year-end bank statement and also to the bank confirmation letter to confirm accuracy & valuation.
- Trace all of the outstanding lodgements to the pre year-end cash book, post year-end bank statement and to paying-in-book pre year-end to confirm accuracy & valuation and existence.
- Trace all unpresented cheques through to a pre year-end cash book and post year-end statement. For any unusual amounts or significant delays obtain explanations from management to confirm accuracy & valuation and completeness.
- Examine any old unpresented cheques to assess if they need to be written back into the purchase ledger to confirm accuracy & valuation and completeness.
- Inspect the bank confirmation letter for details of any security provided by the company or any legal right of set-off as this may require disclosure to confirm appropriate presentation.
- Review the cash book and bank statements for any unusual items or large transfers around the year-end, as this could be evidence of window dressing. This verifies completeness, existence.
- Count the petty cash in the cash tin at the year-end and agree the total to the balance included in the financial statements to confirm accuracy & valuation, and existence.

Non-Current Liabilities

The key assertion for liabilities is completeness and valuation.

Sources of evidence:

- Loan agreement
- Cash book
- Bank statements
- Bank confirmation letter

Substantive Procedures

- Obtain a breakdown of all loans outstanding at the year-end, cast to verify arithmetical accuracy and agree the total to the financial statements: completeness.
- Agree the balance(s) outstanding to the bank confirmation letter: accuracy & valuation, rights & obligations.
- Inspect the bank confirmation letters for any loans listed that have not been included in the financial statements: completeness.
- Inspect the bank confirmation letter for details of any security over assets and agree the details to the disclosure in the financial statements: presentation.
- Inspect financial statements for disclosures of interest rates, and the split of the loan between current and non-current: allocation, classification, presentation.
- Recalculate the split between current and non-current liabilities: allocation, classification, and presentation.
- Inspect the loan agreement for restrictive covenants (terms) and determine the effect of any loan covenant breaches: allocation, classification, presentation. [If loan covenants have been breached the loan may become repayable immediately and should therefore be included as a current liability].
- Inspect the cash book for loan repayments made: existence, accuracy & valuation.
- For the related finance cost in the statement of profit or loss, recalculate the interest charge and any interest accrual in accordance with terms within the loan agreement, to ensure mathematical accuracy: accuracy of finance costs in the statement of profit or loss, completeness of accruals.

Non-Current Assets

The key assertions for non-current assets are existence, valuation, completeness and rights and obligations.

Sources of Evidence:

- Non-current asset register
- Purchase invoices (additions)
- Sales invoices / capital disposal forms (disposals)
- Bank statements and cash book
- Physical assets
- Ownership documents including title deeds and registration documents
- Depreciation policy and rates
- Capital expenditure budgets / capital replacement plans

Substantive Procedures

- Obtain the non-current asset register, cast and agree the totals to the financial statements: verifies completeness, classification, presentation.
- Select a sample of assets from the non-current asset register and physically inspect them: verifies existence.
- Select a sample of assets visible at the Murray's premises and inspect the asset register to ensure they are included: verifies completeness.
- Inspect assets for condition and usage to identify signs of impairment: verifies valuation.
- For revalued assets, inspect the independent valuation report and agree the amount stated to the amount included in the general ledger and the financial statements: verifies valuation; and ensure that all assets in the same class have been revalued.
- Obtain a list of additions and for a sample, agree the cost to supplier invoice: verifies valuation.
- Select a sample from the list of additions and review the description on the invoice to confirm that they relate to capital expenditure items rather than repairs and maintenance: verifies existence.
- Inspect a breakdown of repairs and maintenance expenditure for the year to identify items of a capital nature: verifies completeness.
- For a sample of assets included in the non-current asset register, inspect supplier invoices (for equipment), title deeds (for property), and registration documents (for motor vehicles) to ensure they are in the name of the client: verifies rights and obligations.

Disposals

- Obtain a breakdown of disposals, cast the list and agree all assets have been removed from the non-current asset register: verifies existence.

- Select a sample of disposals and agree sale proceeds to supporting documentation such as sundry sales invoices: verifies accuracy of profit on disposal.
- Recalculate the profit/loss on disposal and agree to the statement of profit or loss: verifies accuracy of profit on disposal.

Depreciation

- Inspect the capital expenditure budgets for the next few years to assess the appropriateness of the useful economic lives in light of plans to replace assets: verifies valuation.
- Review profits and losses on disposal of assets disposed of in the year to assess the reasonableness of the depreciation policies (if depreciation policies are reasonable, there should not be a significant profit or loss): verifies valuation.
- Compare depreciation rates to companies with the same type of assets to assess reasonableness: verifies valuation.
- Recalculate the depreciation charge for a sample of assets to verify arithmetical accuracy: verifies accuracy, valuation.
- Recalculate the depreciation charge for revalued assets to ensure the charge is based on the new carrying value: verifies accuracy, valuation.
- Perform a proof in total calculation for the depreciation charged for each category of assets, discuss with management if significant fluctuations arise: verifies completeness, valuation. (Analytical procedure)
- Inspect the financial statement disclosure of the depreciation charges and policies in the draft financial statements and compare to the prior year to ensure consistency: verifies presentation.

Intangible Non-Current Assets

Development costs

The key assertion for development costs is existence.

Sources of evidence:

- Breakdown of expenditure during the year
- Purchase invoices
- Bank statements and cash book
- Timesheets
- Development expenditure / project plans
- Project test / trial results
- Cash flow forecasts
- Licence agreement
- Third party valuation report e.g. for brand names and trademarks
- Amortisation policy and rates

Substantive Procedures

- Obtain a breakdown of capitalised costs, cast for mathematical accuracy and agree to the amount included in the financial statements valuation.
- For a sample of costs included in the breakdown, agree the amount to invoices or timesheets: valuation.
- Inspect board minutes for any discussions relating to the intended sale or use of the asset: existence.
- Discuss details of the project with the project manager or management to evaluate compliance with IAS 38 criteria: existence.
- Inspect project plans and other documentation to evaluate compliance with IAS 38 criteria: existence.
- Inspect budgets to confirm financial feasibility: existence.
- Inspect the financial statement disclosure in the draft financial statements to ensure compliance with IAS 38: presentation. Other intangible assets
- Inspect purchase documentation for the company name and the cost of the purchased intangible assets: existence, rights and obligations and valuation.
- Inspect specialist valuation report and agree to the amount included in the general ledger and the financial statements: valuation. Amortisation
- Inspect the budgets/forecasts for the next few years to ascertain the period over which economic benefits are expected to be generated and compare with the amortisation policy, to assess reasonableness of the amortisation period: valuation.
- Recalculate the amortisation charge to verify arithmetical accuracy: accuracy, valuation.
- For intangibles such as licences, inspect the licence agreement to confirm the amortisation period corresponds to the licence period: valuation.

Inventory

The key assertions for inventory are existence, valuation, completeness and rights and obligations.

Sources of evidence:

- Aged inventory listing
- Inventory assets
- Inventory count sheets
- Purchase invoices
- Goods received notes
- Sales invoices
- Goods despatch notes
- Client calculations of overhead allocation, absorption and apportionment and percentage of completion for work-in-progress

Substantive Procedures

– *Before the inventory count*

- Contact the client to obtain a copy of the inventory count instructions to understand how the count will be conducted and assess the effectiveness of the count process.
- Review working papers obtained from the previous auditor (in subsequent years inspect prior year working papers) to understand the inventory count process and identify any issues that should be taken into account this year.
- Contact the client to obtain details of date, time and locations of the inventory count(s).
- Obtain a list of locations where inventory is stored and select which locations will be attended by the audit firm if not all locations can be visited. Priority should be given to locations with a high value of inventory or locations with poor controls.
- Consider the need for using an expert to assist in valuing the inventory being counted.
- Ascertain whether any inventory is held by third parties, and if possible, make arrangements to visit the third party site.
- Request a direct confirmation of inventory balances held at the year-end from any third party warehouse providers regarding quantities and condition of inventory owned by the client.

– *During the count Tests of controls*

- Observe the count to ensure that the inventory count instructions are being followed. For example: No movements of inventory occur during the count.
- Teams of two people perform the count.
- Sections of inventory are tagged as counted to prevent double counting.
- Damaged/obsolete items have been separately identified so they can be valued appropriately.
- Inspect the count sheets to ensure they have been completed in pen rather than pencil.
- Inspect the count sheets to ensure they show the description of the goods but do not show the quantities expected to be counted.
- Re-perform the sequence check on the count sheets to ensure none are missing.
- Enquire of the counting staff which department they work in to ensure they are not warehouse staff. Substantive procedures
- Select a sample of items from the inventory count sheets and physically inspect the items in the warehouse: verifies existence.
- Select a sample of physical items from the warehouse and trace to the inventory count sheets to ensure that they are recorded accurately: verifies completeness.
- Enquire of management whether goods held on behalf of third parties are segregated and recorded separately: verifies rights and obligations.
- Inspect the inventory being counted for evidence of damage or obsolescence that may affect the net realisable value: verifies valuation.
- Record details of the last deliveries prior to the year-end. This information will be used in the final audit to ensure that no further amendments have been made: verifies completeness & existence.
- Obtain copies of the inventory count sheets at the end of the inventory count, ready for checking against the final inventory listing at the final audit: verifies completeness and existence.
- Attend the inventory count at the third party warehouses: verifies completeness and existence.

– *At the final audit*

- Trace the items counted during the inventory count to the final inventory list to ensure it is the same as the one used at the year-end and to ensure that any errors identified during counting procedures have been rectified: verifies completeness, presentation.
- Cast the list (showing inventory categorised between finished goods, WIP and raw materials) to ensure arithmetical accuracy and agree totals to financial statement disclosures: verifies completeness, classification.
- Trace goods received immediately prior to the year-end to year-end payables and inventory balances: verifies completeness & existence.
- Trace goods despatched immediately prior to year-end to the general ledger to ensure the items are not included in inventory and revenue (and receivables where relevant): verifies completeness & existence.
- Inspect purchase invoices for the name of the client: verifies rights and obligations.

- Inspect purchase invoices for a sample of inventory items to agree the cost of the items: verifies valuation. – Inspect post year-end sales invoices for a sample of inventory items to determine if the net realisable value is reasonable. This will also assist in determining if inventory is held at the lower of cost and net realisable value: verifies valuation.
- Recalculate work-in-progress and finished goods valuations using payroll records for labour costs and utility bills for overhead absorption: verifies valuation.
- Inspect the ageing of inventory items to identify old/slow moving amounts that may require an allowance, and discuss these with management: verifies valuation.
- Calculate the inventory holding period and compare this to prior year to identify slow-moving inventory which requires an allowance to bring the value down to the lower of cost and NRV: verifies valuation. (Analytical procedure)
- Calculate gross profit margin and compare this to prior year, investigate any significant differences that may highlight an error in cost of sales and closing inventory: verifies valuation. (Analytical procedure.

Receivables

The focus of testing for receivables is valuation and existence.

Sources of Evidence:

- Aged receivables listing
- Sales invoices
- Goods despatch notes
- Receivables circularisation letters
- Post year end bank statements
- Policy for allowance for doubtful receivables

Substantive Procedures

- Obtain the aged receivables listing, cast it and agree the total to the financial statements: verifies accuracy and presentation.
- Agree the receivables ledger control account with the receivables ledger list of balances: verifies completeness and existence.
- Select a sample of year-end receivable balances and agree back to valid supporting documentation of GDN and sales order: verifies existence.
- Inspect after date cash receipts and follow through to pre year-end receivable balances: verifies valuation, rights and obligations and existence.
- Select a sample of goods despatched notes (GDN) before and just after the year-end and follow through to the sales invoice to ensure they are recorded in the correct accounting period: verifies completeness and existence (cut-off of revenue).
- Perform a positive receivables circularisation of a representative sample year-end balances, for any non-replies, send a reminder letter to follow-up: verifies existence and rights and obligations.
- Inspect the aged receivables report to identify any slow moving balances and discuss these with the credit control manager to assess whether an allowance or write-down is necessary: verifies valuation and allocation.
- Discuss any significant balances with management to identify any issues regarding payment: verifies valuation.
- Inspect customer correspondence in respect of any slow moving/aged balances to assess whether there are any invoices in dispute: verifies valuation.
- Inspect board minutes to assess whether there is any material disputed receivables that may require write off: verifies valuation.
- Inspect the receivables ledger for any credit balances and discuss with management whether these should be reclassified as payables: verifies existence of receivables and completeness of payables, classification.
- Inspect a sample of post year-end credit notes to identify any that relate to pre year-end transactions to ensure that they have not been included in receivables: verifies existence (occurrence of revenue).
- Calculate the average receivables collection period and compare this to prior year, investigate any significant differences: verifies completeness and valuation. (Analytical procedure)

Prepayments

Prepayments are services or goods which a company has paid for in advance. Therefore, the client should include the value of any prepayments as a receivable in the financial statements.

- Inspect bank statements to ensure payment has been made before the year-end: existence.
- Inspect invoices to ensure payment relates to goods or services not yet received: existence.
- Recalculate the amount prepaid to confirm mathematical accuracy: valuation.
- Compare prepayments with the prior year to identify any missing items or any new prepayments which require further testing: existence, valuation, and completeness. (Analytical procedure).

Payables and Accruals

The focus of testing for liabilities is completeness.

Sources of evidence:

- Aged payables listing
- Purchase invoices
- Goods received notes
- Post year end bank statements
- Supplier statements
- Supplier circularisations (where supplier statements are not available)

Trade Payable Substantive Procedures

- Obtain a list of trade payables, cast to verify arithmetical accuracy and agree to the general ledger and the financial statements: verifies completeness, classification, presentation.
- Reconcile the total of the individual payables accounts with the control account: verifies completeness.
- Obtain supplier statements and reconcile these to the payables balances. Investigate any reconciling items: existence, completeness, obligations and valuation. Note: Supplier statement reconciliations provide the most reliable evidence in respect of payables as they provide external confirmation of the balance.
- Inspect after date payments, if they relate to the current year then follow through to the payables ledger or accruals listing: completeness.
- Inspect invoices received after the year-end in respect of goods delivered before the year-end and trace through to the accruals listing: completeness.
- Enquire of management their process for identifying goods received but not invoiced and ensure that it is reasonable: completeness.
- Select a sample of goods received notes immediately before the year-end and follow through to inclusion in the year-end payables balance: completeness of payables and cut-off of purchases.
- Select a sample of payable balances and perform a trade payables' circularisation, follow up any non-replies and any reconciling items between the balance confirmed and the ledger balance: completeness and existence.

- Inspect the trade payables ledger for any debit balances, for any significant amounts discuss with management and consider reclassification as current assets: valuation of payables and completeness of receivables, classification.
- Compare the list of trade payables and accruals against the prior year list to identify any significant omissions: completeness. (Analytical procedure)
- Calculate the trade payables payment period and compare to prior year, investigate any significant differences: completeness and valuation. (Analytical procedure)

Accruals Substantive Procedures:

- Obtain the list of accruals from the client, cast it to confirm mathematical accuracy and agree to the general ledger and the financial statements: completeness, classification.
- Recalculate a sample of accrued costs by reference to contracts and payment schedules (e.g. loan interest): valuation (accuracy of purchases and other expenses).
- Inspect invoices received post year-end to confirm the actual amount and assess whether the accrual is reasonable: valuation.
- Compare the accruals this year to last year to identify any missing items or unusual fluctuation in amount and discuss this with management: completeness and valuation. (Analytical procedure)

Provisions & Contingencies

Substantive Procedures

- Obtain a breakdown of the provisions, cast it and agree the figure to the financial statements: accuracy and presentation.
- Enquire with the directors, or inspect relevant supporting documentation, to confirm that a present obligation exists at the year-end: rights and obligations.
- Inspect relevant board minutes to ascertain whether payment is probable: existence.
- Recalculate the liability and agree components of the calculation to supporting documentation: completeness.
- Inspect post year-end bank statements to identify whether any payments have been made, compare actual payments to the amounts provided to assess whether the provision is reasonable: valuation.
- Inspect the financial statement disclosure of the provisions and contingent liabilities to ensure compliance with IAS 37: presentation.
- Obtain a written representation from management that they believe the provisions and contingent liabilities are treated appropriately in the financial statements, are valued appropriately and are complete: valuation and completeness.

Contingent Assets Substantive Procedures

- Review correspondence from third parties (lawyer, insurance company, insolvency practitioner) regarding the value likely to be received and probability of payment. Agree the figure into the disclosure note relating to the contingent asset: existence, accuracy & valuation and presentation.
- Review correspondence from third parties (court, insurance company, insolvency practitioner) confirming the amount awarded to the client. Agree the figure to other receivables and other income within the financial statements: accuracy & valuation, existence, rights & obligations, and presentation.
- Review post year end bank statements and cash book to confirm the amount received: accuracy & valuation, existence, rights & obligations, and presentation.

Accounting Estimates & Fair Value

IAS 540 Auditing Accounting Estimates, Including Fair Value Accounting Estimates and Related Disclosures requires auditors to obtain sufficient appropriate evidence about whether estimates (including fair values) are reasonable and adequately disclosed in the financial statements.

Substantive Procedures

- Determine whether events up to the date of the auditors' report provide additional evidence with regard to the appropriateness of estimates.
- Test hoe management made their estimates and evaluating whether the method is appropriate.
- Test the effectiveness of controls over estimations.
- Develop a point estimate to use in comparison to managements.
- If there are significant risks associated with estimates the auditor should also enquire whether management considered any alternative assumptions and why they rejected them, and whether the assumptions used are reasonable in the circumstances.
- Obtain written representations from management confirming that they believe the significant assumptions used in making accounting estimates are reasonable.
- Verify the external prices used to value financial instruments.

Share Capital, Reserves & Director's Remuneration

Share Capital

Sources of Evidence:

- Share register
- Share certificates
- Bank statements and cash book
- Board minutes
- Registrar of companies (e.g. Companies House)

Substantive Procedures

- Agree authorised share capital and nominal value disclosures to underlying shareholding agreements/statutory constitution documents.
- Inspect cash book for evidence of cash receipts from share issues and ensure amounts not yet received are correctly disclosed as share capital called-up not paid in the financial statements.
- Inspect board minutes to verify the amount of share capital issued during the year.

Dividends

Sources of evidence:

- Board minutes
- Bank statements and cash book
- Dividend warrant

Substantive Procedures:

- Inspect board minutes to agree dividends declared before the year-end.
- Inspect bank statements to agree dividends paid before the year-end.
- Inspect dividend warrants to agree dividend payment.

Directors' Emoluments

Sources of Evidence:

- Directors' service contracts
- Board minutes
- Bank statements and cash book
- Payroll records
- Written representation from management

Substantive Procedures:

- Obtain and cast a schedule of directors' remuneration split between wages, bonuses, benefits, pension contributions and other remuneration, and agree to the financial statement disclosures.
- Inspect payroll records and agree the figures disclosed for wages, bonuses, and pension contributions.
- Inspect bank statements to verify the amounts actually paid to directors.
- Inspect board minutes for discussion and approval of directors' bonus announcements or other additional remuneration.
- Obtain a written representation from directors that they have disclosed all directors' remuneration to the auditor.

Reserves

- Agree opening reserves to prior year closing reserves and reconcile movements.
- Agree movements in reserves to supporting documentation (e.g. revaluation reserve movements to the independent valuer's report).

Statement of Profit or Loss

Payroll

The focus of testing for payroll is completeness, accuracy and occurrence.

Sources of Evidence:

- Payroll control account
- Payroll payment listing
- Payslips
- Contracts of employment
- Hourly rates of pay
- Timesheets
- Bank statements and cash book
- Starters and leavers forms

Substantive Procedures:

- Agree the total wages and salaries expense per the payroll control account to the general ledger and the financial statements: completeness and presentation.
- Cast the monthly payroll listings to verify the accuracy of the payroll expense: accuracy.
- Recalculate the gross and net pay for a sample of employees and agree to the payroll records: accuracy.
- Recalculate statutory deductions to confirm whether correct deductions for this year have been included within the payroll expense: accuracy.
- Select a sample of joiners and leavers, agree their start/leaving date to supporting documentation, recalculate that their first/last pay packet was accurately calculated and recorded: completeness, occurrence, accuracy.
- For salaries, agree the total net pay per the payroll records to the bank transfer listing of payments and to the cashbook: occurrence.
- For cash wages, agree that the total cash withdrawn for wage payments equates to the weekly wages paid plus any surplus cash subsequently banked: completeness, occurrence.
- Agree the year-end tax liability to the payroll records and subsequent payment to the post year-end cash book: occurrence.
- For a sample of individuals, agree the amount per the payroll listing to the personnel records, and timesheets if applicable: accuracy.

Analytical Procedures

- Perform a proof in total of total wages and salaries incorporating joiners and leavers and any pay increase awarded during the year. Compare this to the actual wages and salaries in the financial statements and investigate any significant differences: completeness, accuracy.
- Compare the payroll figure for this year to last year to identify any unusual fluctuations and discuss them with management: completeness, accuracy.

Revenue

The focus of testing for revenue is completeness, cut-off, occurrence and accuracy.

Sources of Evidence:

- Revenue control account
- Sales day book
- Sales invoices
- Customer contracts
- Goods despatch notes
- Sales orders

Substantive Procedures:

- Inspect a sample of GDNs before and after the year-end and ensure they have been recorded in the sales day book in the correct period: cut-off. In most cases, the despatch of goods indicates that the seller has fulfilled its performance obligations and therefore the sale can be recorded.
- Recalculate discounts and sales tax applied for a sample of large sales invoices: accuracy.
- Select a sample of customer orders and agree these to the despatch notes and sales invoices through to inclusion in the sales day book: completeness.
- Inspect credit notes issued after the year-end, trace to GDN and invoice and ensure the sale has been reversed: occurrence.

Analytical Procedures

- Compare revenue against prior year and investigate any significant fluctuations: cut-off, occurrence, accuracy and completeness.
- Compare revenue with budget/forecast and investigate any significant fluctuations: cut-off, occurrence, accuracy and completeness.
- Calculate the gross profit margin and compare to prior year. Investigate any significant differences: cut-off, occurrence, accuracy and completeness.

Purchases & Other Expenses

The focus of testing for purchases is completeness, cut-off, occurrence, accuracy and classification.

Sources of Evidence:

- Purchase control account
- Purchase day book
- Purchase invoices
- Supplier contracts
- Goods received notes
- Purchase orders

Substantive Procedures:

- Inspect GRNs before and after the year-end and ensure they have been recorded in the purchase day book in the correct period: cut-off. In most cases, the company takes ownership for goods when they are received and therefore the purchase expense (and corresponding liability) should be recorded.
- Recalculate discounts and sales tax applied for a sample of purchase invoices: accuracy.
- Select a sample of purchase orders and agree these to the GRNs and purchase invoices through to inclusion in the purchase day book: completeness.
- Inspect purchase invoices for a sample of purchases/expenses in the purchase day book for the amount, name of the client and description of the goods: accuracy, occurrence and classification.

Analytical Procedures

- Compare expenses for each category year on year and investigate any significant fluctuations: cut-off, accuracy, completeness, classification and occurrence.
- Compare expenses against budget and investigate any significant fluctuations: cut-off, accuracy, completeness, classification and occurrence.
- Calculate gross profit margin and compare with prior year to identify any possible misstatement of purchases. Discuss any significant movement with management: cut-off, accuracy, completeness, and occurrence.
- Calculate operating profit margin and compare with prior year. Investigate any significant fluctuations: cut-off, accuracy, completeness, classification and occurrence.